

Meridian Actuarial Advisors LLC

www.meridianactuarial.com

August 18, 2017

Miller, Cook and Snyder

Attention: Michelle Hudson, Director of Operations

Dear Ms. Hudson:

This letter confirms the terms on which Meridian Actuarial Advisors LLC will perform a reserve adequacy review for Miller, Cook and Snyder. It supersedes our earlier correspondence on the subject. If the terms below reflect your understanding, please sign and return one copy. Your countersignature is our authority to begin.

Scope of Services

We will review the adequacy of the reserves carried by Miller, Cook and Snyder as of a valuation date to be agreed with your staff. The review covers three things. First, whether the data supplied are sufficient to support an analysis of the kind described here. Second, the reasonableness of the reserve assumptions in force, considered individually and in aggregate. Third, our conclusion as to whether the carried reserves make adequate provision for the liabilities they are intended to cover.

The review is not an audit of your financial statements and is not a substitute for one. We will not verify the accuracy of the underlying records. We will test the data supplied for internal consistency and for consistency with the prior period, and we will state in the report what we relied on and what we did not examine. Where the data are insufficient to support a conclusion, we will say so rather than assume around the gap.

The work will be performed in accordance with the applicable Actuarial Standards of Practice, including ASOP No. 23 on data quality and ASOP No. 41 on actuarial communications. Any deliverable stating an actuarial opinion will identify the actuary responsible for it.

Approach

We expect the work to proceed in four stages: data request and reconciliation; assumption review; calculation and exhibit build; and reporting. The exhibits will be

delivered as a workbook. The report will interpret them, and it will keep separate what the data show, what we assumed, and what we conclude. Those are three different things and we do not blend them, because a reader who cannot tell them apart cannot judge the opinion.

You will receive the following:

- A data request specifying the extracts and supporting records we require, together with a reconciliation of what is received against what was asked for.
- A memorandum documenting the assumptions reviewed, the basis on file for each, and any assumption we recommend be reconsidered.
- An exhibit workbook containing the reserve calculations, with every exhibit traceable to a named input.
- A written report stating our findings and our conclusion on reserve adequacy, signed by the responsible actuary.

We will hold a working session with your staff near the midpoint of the review to walk through the state of the analysis before anything is committed to a draft. Interim results discussed in that session are not conclusions and should not be relied upon as such.

Engagement Team

I will serve as the responsible actuary and will sign the report. Jennifer Vasquez, Consulting Actuary, will lead the assumption review and draft the report narrative. David Sherman, Senior Analyst, will run the valuation and own the reconciliation of the data you supply. Megan Dudley, Actuarial Associate, will build the exhibit workbook and will be your day-to-day contact for data requests and scheduling. Substitutions within the team are possible if circumstances require. The responsible actuary will not change without notice to you.

Fees and Payment

Our fee for the services described above is \$78,000, and work will commence on August 28, 2017. The fee is fixed for the scope as written and assumes the data are supplied substantially in the form and on the schedule we request. Work outside this scope, including a change in the valuation date, a restatement of the data after reconciliation, or additional scenarios requested by your board, will be quoted separately and will not be performed until you have approved the quote in writing. Invoices are payable within thirty days of receipt. Out-of-pocket expenses will be billed at cost, and we will notify you before incurring any expense that is not nominal.

Term and Termination

The engagement begins on the commencement date stated above and continues until we deliver the final report and you have had a reasonable opportunity to review it. Either party may terminate on written notice. On termination by you, the portion of the fee corresponding to work performed to that date remains payable. On termination by us, we owe you an explanation and will release whatever completed work product can responsibly be released. We will not release partial results in a form that invites reliance on a conclusion we have not reached.

Confidentiality

We will treat the data and information you supply as confidential and will not disclose them to third parties except with your consent or as required by law or by the standards under which we practice. Our staff are bound to the same obligation. We will retain work papers documenting the engagement; those work papers are ours and remain subject to this obligation. If a regulator or an auditor requests them, we will notify you before responding unless notification is itself prohibited.

Limitation of Liability

Our liability arising from this engagement, whether in contract, in tort, or otherwise, is limited in the aggregate to the fee paid for the services giving rise to the claim, except in the case of our fraud or willful misconduct, where no limit applies. We are not liable for consequential or indirect losses. Any claim must be brought within one year of delivery of the final report. This limitation is a term of the fee. It is not a statement about the quality of the work.

Governing Law

This letter is governed by the laws of the state in which Meridian's principal office is located, without regard to its conflict of laws provisions. It is the entire agreement between us on this subject and may be amended only in writing signed by both parties. If any provision is held unenforceable, the remainder stands.

If the foregoing reflects your understanding, please sign below and return one copy to Megan Dudley. We are ready to begin on the date stated above. Questions about the work itself can go to any of the team. Questions about scope should come to me directly, because scope is the term that erodes quietly and by good intentions.

Yours sincerely,

Robert Lawrence

Managing Actuary

Date: August 18, 2017

Michelle Hudson

Director of Operations, Miller, Cook and Snyder

Date: August 18, 2017